

Module 10:

Keke Song

- **Sell-off:** What if the acquirer wants to reverse an M&A transaction?
- **Revision**



SELL-OFFS AS CORPORATE RESTRUCTURINGS

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Sell-offs

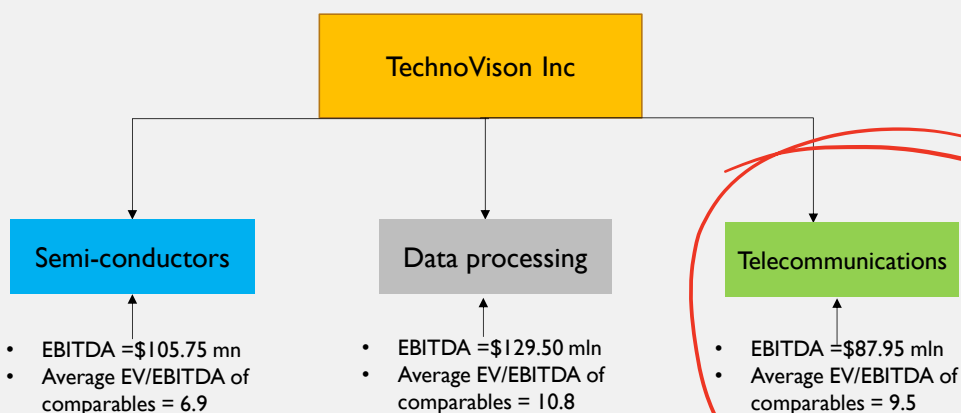
f NPL m&A

- Sell-offs refer to the transactions that a firm sells some division(s) to contract and downsize its business.
 - Sell-offs are opposite to M&As.
 - E.g. AMP Limited's sold its life insurance business, AMP Life, to Resolution Life for A\$3bn in 2020.
- **Question.: when sell-offs could be value-enhancing for the parent firm?**
 - Some division(s) of the parent firm underperform.
 - The parent firm has financial pressures.
 - Some divisions(s) of the parent firm no longer fit into the parent firm's strategic plans.
 - A conglomerate firm could be traded at a substantial discount due to inefficient management, unfit cultures among divisions, or lack of strategic focus.



Recall the example used “Conglomerate Discount”

Conglomerate firms on average are traded a discount from their “sum-of-parts” value

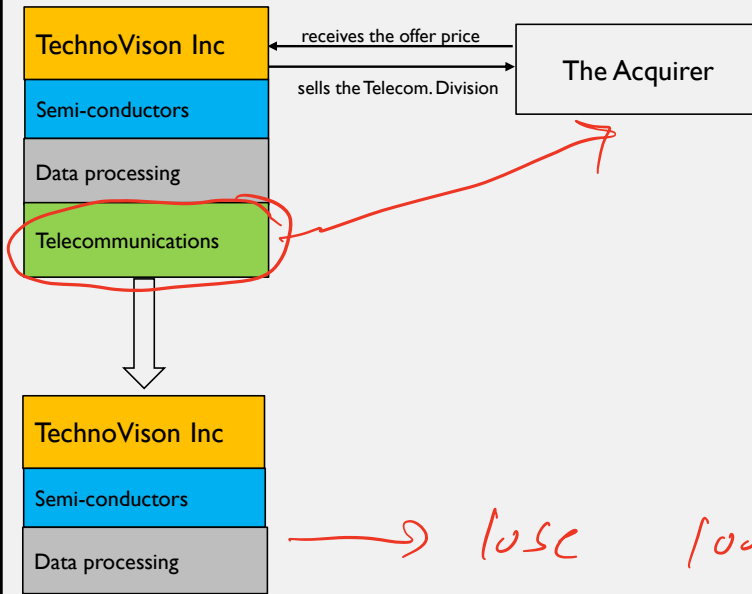


get rid of it

- “Sum-of-parts” EV of TechnoVision = $\$105.75 \times 7.9 + \$129.50 \times 10.8 + \$87.95 \times 9.5 = \2964.81 mln
- Actual EV of of TechnoVision = \$2550 mln
- How to unlock the “conglomerate discount”?

Three Forms of Sell-offs

I. Divestitures



- Divestiture: a firm (the target) sells off one of its subsidiaries to an acquirer.
- From the seller's perspective: "divestitures"
- From the acquirer's perspective: "acquisition of assets"
- Example:
 - In 2020, AMP sold its life insurance division to Resolution life.
 - In 2022, AMP sold its Global Equity and Fixed Income (asset management) division to Macquarie Group.

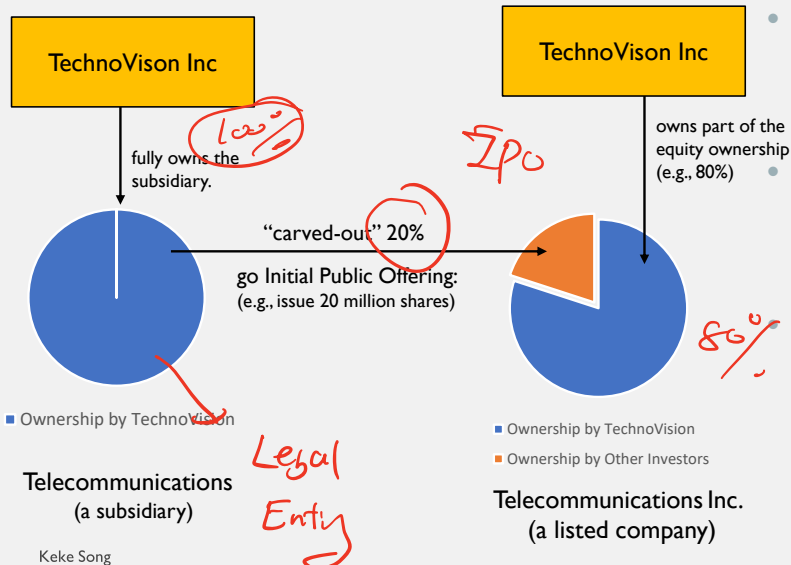
→ lose 100% of Division

sell part of division?

Telecommunications

Three Forms of Sell-offs

2. Carve-outs



- Carve-outs: a fully owned subsidiary goes IPO and sells *part* of the equity ownership to the public.

- After the carve-outs, some external investors (other than the parent) will hold a piece of shares in the subsidiary.

- The parent usually still holds the majority of shares of the subsidiary after the IPO.

Separate company

Parent

Car Maker

battery supply

B. Co

IPO Virgin Australia



30% equity

40% equity stake

Carve-out Examples

(Source of figure: Financial Times)

- On March 16, 2018, Wesfarmers announced to carve out Coles.
- Wesfarmers share price increased by 6% upon the announcement.



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- ① more focused / downsizing
- ② risk lower
- ③ cash → P.E. Discount

Wesfarmers



Coles

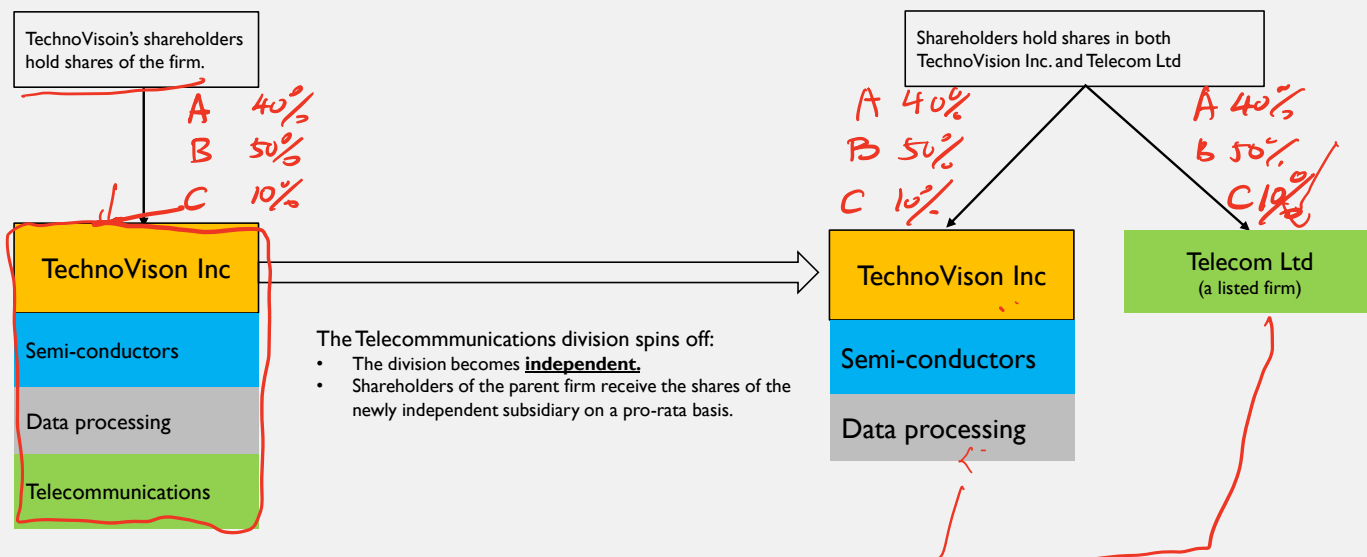
Independent

Subsidiary



Three Forms of Sell-offs

3. Spin-offs

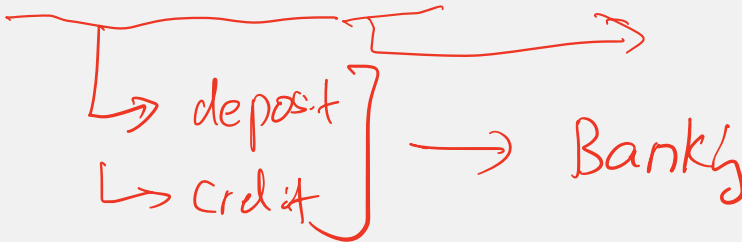


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Spin-off Examples

- In 2015, BHP spun-off South32.
- In 2011, Alibaba spun-off Alipay into a new company (Zhejiang Alibaba E-Commerce Company).
pay pal
- Then the new company's name was changed to Ant Financial, followed by Ant Group in the coming years.
- The Ant Group's \$30-plus billion IPO was blocked by regulators in China in 2020.



7:55
Final

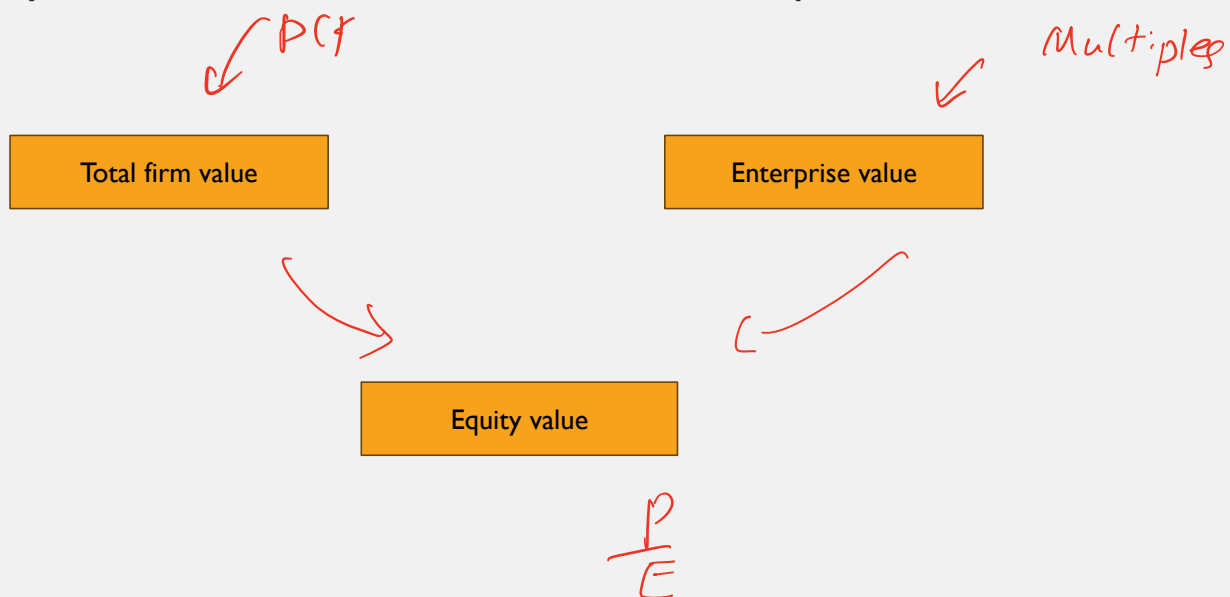


M&A REVISION

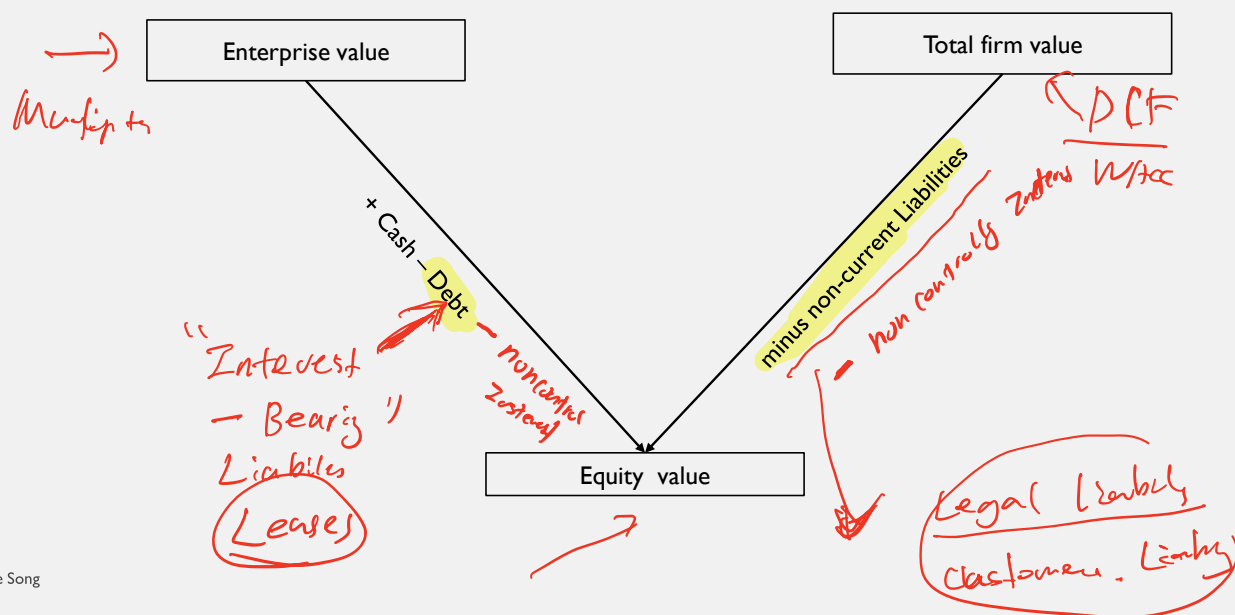
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Can you tell the differences/relationship between the values?



This map represents the conceptual relationships
(Assume the non-controlling interest is zero)



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$$\begin{array}{c}
 E + D + \text{non-current} - \text{Cash} \\
 \downarrow \quad \quad \downarrow \\
 \text{MKT} \quad \text{Debt}
 \end{array}
 \rightarrow \text{EV}$$

Final Exam Format

- Part I: 30 Multiple-Choices/Numerical

1 hr.

Part II: Problems

- Q1. Related to NPVs of an M&A deal from the acquirer's/target's perspective.
- Q2: Related to standalone valuation (need to estimate FCFE using pro-form I/S).
- Q3: Related to standalone valuation. ~~WACC~~
- Q4: Related to merger gains estimation.

NPV

Q1

1 hour

final practice set

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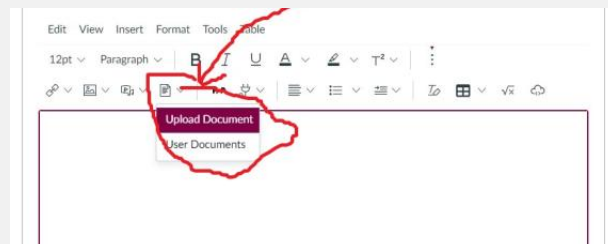
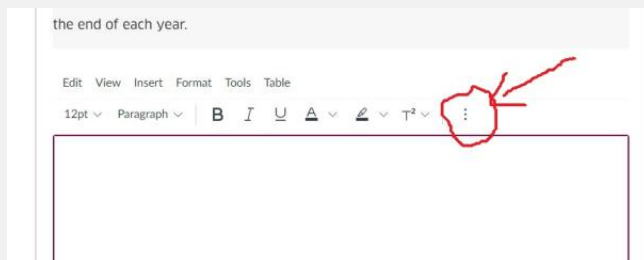
2.5 hours

1 hr MC/Numerical

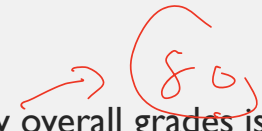
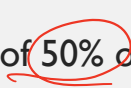
1 hour problem

30 min

Instruction on uploading your answers to the PROBLEMS



Important Information on the final exam

1. The exam will be managed by the academic service team.
2. Please do NOT email your answer to the instructor.
3. The overall grades must be scaled if the distribution of the raw overall grades is out of the required range (the average overall score must be between 74 and 76). 
4. **AI Prohibition:** The use of any form of AI tools or assistance is strictly prohibited during the final exam.
5. **Hurdle Requirement:** A minimum score of 50% on the final exam is required to pass the subject, regardless of your overall grade. 

Rules on a second device

- You are allowed to bring a second device into the final exam if you wish, but it must be a tablet.
- You CANNOT bring a second device with an upright screen, which means a second laptop or a stand-up monitor is NOT allowed.

Office Hour Zoom Link

- Keke Song is inviting you to a scheduled Zoom meeting.
- Topic: Keke's office hours
- Time: This is a recurring meeting Meet anytime
- Join Zoom Meeting
- <https://mbs-edu.zoom.us/j/96930141713?pwd=RG5pWIBqTlpydGVSMijqeGJZZEthdz09>
- Meeting ID: 969 3014 1713
- Passcode: office

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Monday 6 PM

↳ Records
upload Canvas

An aerial photograph of a city skyline at sunset. The sun is low on the horizon, casting a warm orange glow over the city. A large, black-outlined speech bubble is centered in the upper half of the image, containing the text "THANK YOU!". The skyline features several prominent skyscrapers, including the Willis Tower on the left. The foreground shows a dense urban area with various buildings and greenery.

THANK YOU!

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